

# AMRC pitch deck

## PITCH — AMRC — VERDICT

**PROPOSED — PENDING ADJUDICATION** — No position, no orders, and none proposed today: stay flat through the ~November 2 print, then buy a 0.5% starter only if four named conditions all clear; the drawdown is not the reason to own it.

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### What we believe

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Ameresco builds and owns energy infrastructure for governments, hospitals, universities and utilities — efficiency retrofits, solar, battery storage, and landfill-gas-to-renewable-natural-gas plants. It books long construction contracts and also keeps some plants on its own balance sheet for recurring revenue.

Four things are true at once, all from the company's own releases and filings:

1. **Management cut the year's profit guidance by 8% in May** (adjusted EBITDA \$270–295M → \$250–270M) and has held that lower number since.
2. **The engine that produces recurring, owned-asset margin has stopped taking on new work for two straight quarters.** Q1 net new energy-asset awards were 0 MWe; Q2 were *negative* 24 MWe. Because the company placed 32 MWe into service in Q2, the development pipeline shrank from 568 MWe to 513 MWe. The headline everyone quotes — total backlog up 33% to \$6.7B — is almost entirely the *awarded* (not yet contracted) bucket, and management dates the big data-center awards at “6 to 24 months” to conversion with “major impact 28 to 30.” That is outside this year and next.
3. **The company's “adjusted” cash flow is largely tax-credit sales, not operations.** FY25 adjusted operating cash flow was \$151.7M “including \$132.4M from ITC sales.” Reported GAAP operating cash flow was *negative* \$80.4M for the full year. Q2 alone recognized \$20.4M of tax-credit sale proceeds.
4. **The accounting for that exact line is being changed, and the officer who owns it is leaving before the first period it applies.** The August 3 release says management will “transition to a new accounting policy for transferable tax credits in the second half of 2026,” one that “better aligns earnings recognition with the period in which the investment tax credits are **generated, rather than allocating the benefit over the life of the related assets**” — that is, it pulls earnings *forward*. In the same release, EBITDA guidance was held flat while per-share earnings guidance was raised, explicitly “based on improved tax credit visibility.” Then on August 19 the company disclosed that Mark A. Chiplock resigned as EVP, **Chief Financial Officer and Chief Accounting Officer**, effective September 25, 2026, with **no successor and no interim named** — “The Company has commenced a search for a Chief Financial Officer.” ([SEC 8-K, accession 0001628280-26-057952](#))

So: the first earnings report under a policy that accelerates profit recognition will be produced by a finance organization with nobody in the top seat, five weeks after that person walked out. That is not an accusation — the filing says the resignation was “not the result of any disagreement with the Company on matters relating to the Company’s operations, policies or practices.” It is a reason to require the print before paying for it.

**We do not believe the bear case that got us here.** Our own opening brief argued damage was already arriving. Three of its load-bearing facts were arithmetic errors and we killed them ourselves (detailed below). What survives is thinner and more specific: a real guidance cut, a stalled owned-asset funnel, a cash engine made of tax credits, and an unusually poorly-timed handover.

## What the market believes

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The market believes this is a de-rating, not a break. The stock fell from \$28.50 on August 17 to \$20.97 today: -10.6% on August 18, -12.5% on August 20, and lower since. The 8/18 break followed a Baird downgrade to Neutral with a price target cut from \$36 to \$32 — note that the target was still **53% above where the stock trades today**, so the note itself did not justify the move. The 8/20 break followed the two executive-departure 8-Ks.

At the same time, the sell side apparently still models FY26 adjusted EBITDA around \$265.9M — *above* the company’s own \$260M midpoint of a guide that was already cut 8%. (This figure comes from a secondary aggregator; we could not confirm it from a primary source, and we say so.) In other words, the street is not modeling deterioration; it is modeling a beat.

The stock has also fully round-tripped its +20.9% jump on the August 3 Q2 report. Everything the market liked about that quarter, it has since given back.

## Why we might have edge

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- **We joined two facts the coverage keeps separate.** “Adjusted cash flow is \$151.7M” and “the tax-credit accounting is changing” are the *same line item*. Almost nothing in the adjusted cash figure is operations; it is monetization of credits whose recognition timing is about to be restated. Anyone treating adjusted OCF as a durable cash number is measuring the thing that is being redefined.
- **The backlog headline hides a stage substitution.** A composite metric (awarded + contracted) set a record while the only stage that converts inside the guidance window — contracted — fell from \$2,497M at 3/31/26 to \$2,302M at 6/30/26. Growth is concentrated in a bucket management itself dates 2–2.5 years out. We have written this up as a reusable pattern.
- **Nobody appears to be pricing the owned-asset award drought.** Zero, then negative, net MWe awards in consecutive quarters, with the pipeline shrinking, is the clearest single bear datum in the file — and neither of our benches sized it either, which is itself a tell about how easy it is to miss under a record-backlog headline.

- **The handover timing is mechanically checkable and dated.** September 25 (departure), ~November 2 (first print under the new policy). We can be flat across both and buy only what actually prints.

## Why it might be priced in

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Honestly: most of it probably is.

- The stock is down 53% from its 52-week high and 14% off its low. The guidance cut, the downgrade, and both departures are public and each already produced a large down day.
- The accounting change was disclosed by the company, in its own release, in plain language. This is not a discovery; it is a paragraph anyone can read.
- The consensus number sitting above the midpoint means the ramp is not a secret the street has failed to consider — the street has considered it and disagrees with the company's caution. We have no number of our own that is different from either. **We have a concern, not a forecast.** That is a thinner form of edge than we usually require.
- On the more forgiving of the two valuation frames, the equity is not obviously expensive; on the harsher one, it is. We could not resolve which is right (see below). That is a coin we have not called.
- The -53% drawdown is not an argument. Both benches said so independently, and we agree.

## What could go wrong

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**Failure narrative 1 — We buy a clean print that the accounting made clean.** We wait for November 2, the quarter looks fine, we buy 0.5%, and the “fine” is a catch-up from pulling tax-credit recognition forward into the period the credits are generated. Six months later, the pull-forward is exhausted, the comparison base is inflated, and the operating business hasn't changed. *Monitorable:* yes — the Q3 10-Q must quantify the policy change's effect. Our gate is  $\leq \$0.10$  of EPS. If it isn't quantified at all, that is a fail, not a neutral.

**Failure narrative 2 — The owned-asset funnel stays empty and the recurring-margin base erodes in slow motion.** Two quarters of zero-or-negative awards becomes four. Assets keep getting placed in service (revenue) while nothing replaces them in development, so the recurring segment shrinks quietly under a record composite backlog that converts in 2028–2030 if at all. Meanwhile \$229.1M of first-half capital spending (\$213.2M energy assets, \$15.9M maintenance) runs against – \$3.3M of adjusted operating cash flow, funded by project debt. *Monitorable:* yes — the MWe awards line in every quarterly release, and the contracted (not total) backlog.

**Failure narrative 3 — NO MONITORABLE TRIPWIRE.** The company has one person holding both CFO and Chief Accounting Officer, and that person leaves during a policy transition with no successor and no interim. If something goes wrong in the controls function, **there is no filing, no metric, and no price level that leads it.** A non-reliance announcement (8-K Item 4.02) is, by construction, the *first* observable evidence — the disclosure and the event are the same moment.

**Unknown-unknown class: single-officer controls concentration at a policy handover — outside observers cannot distinguish “no problem” from “no one checking” until a restatement announces which it was.** Related and equally unlit: the 8/18 –10.6% day happened on a downgrade whose own target was 53% above today’s price. Something moved that tape that the published note does not contain. We do not know what holders knew or believed, and no filing will tell us.

### The reflexive and structural leg.

- *Our own size is not the problem.* A 0.5% starter in a \$1.1B-market-cap NYSE name is small. But we have **not verified average daily volume** — the price rail we prefer was unavailable this session — and no order goes in until we have it and can cap participation at ~1% of a day’s volume.
- *Our gate makes us buy the relief rally.* Waiting for a clean November 2 print means buying after the stock has already re-rated on that print. We would be bidding into flow we ourselves predict: if Q3 is clean and a CFO is named, the same funds that sold the downgrade come back, and we compete with them. This is the single most likely way a *correct* thesis still loses money.
- *Two of our standing habits push the wrong way here.* The “a clean adversarial review with no named kill gets a minimum starter” default pushes toward buying something both benches independently declined to buy. And the reflex that treats a large drawdown in a real, cash-generating business as an opportunity pushes toward calling this cheap when neither bench established cheapness. Both are pulling in the same direction, which is exactly when they should be distrusted.
- *No resting orders may sit through the print.* A good-till-cancelled bid left across an earnings date is a bet on the earnings date, whether we intended one or not. Any order is placed after the print, not before it.

If this position loses money, the most likely reason will be that we waited for a clean Q3 print, got one, paid up for it — and the cleanliness came from the accounting change pulling tax-credit earnings forward rather than from the business, with no one left in the finance seat who could have told us the difference.

### What we checked ourselves

| Claim                                                                                           | How checked                                                                  | Found                                                                                                                                                                                                                 | Confirmed?                                                                                                                    |
|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| <b>(Our brief)</b> Second half must print \$147–167M vs the first half’s \$103.3M — implausible | Compared the required shape to what the company actually delivered last year | FY25 did \$96.8M → \$140.4M = 1.45x. FY26 needs 1.52x at the midpoint but only <b>1.42x at the low end</b> — easier than last year’s actual. Management also pre-disclosed “approximately 60% of 2026 revenues in H2” | <b>NO — our own brief was wrong. The low end is safe; only the midpoint asks for acceleration (+11.6% YoY vs +6.7% in 1H)</b> |

| Claim                                                                                | How checked                                                                           | Found                                                                                                                                                                                                                                                                         | Confirmed?                                                                                                                                                                                                                                          |
|--------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>(Our brief)</b> A “–\$127M quarter-over-quarter cash collapse”                    | Recomputed against the prior-year period instead of the prior quarter                 | Adjusted OCF –\$3.3M (1H26) vs +\$51.0M (1H25) = –\$54.3M. GAAP –\$71.8M vs –\$55.2M = –\$16.6M. FY25 GAAP OCF was <b>negative all year</b> while EBITDA grew — normal for a construction-heavy developer                                                                     | <b>NO — a quarter-stacking artifact</b>                                                                                                                                                                                                             |
| <b>(Our brief)</b> Contracted backlog down three quarters running                    | Read the backlog tables in each quarterly release                                     | \$2,470M → <b>\$2,497M (up)</b> → \$2,302M. One down quarter                                                                                                                                                                                                                  | <b>NO — the brief’s primary bear metric was misstated</b>                                                                                                                                                                                           |
| <b>(Our red bench)</b> No CFO 8-K exists; the resignation is only in secondary press | Proxy-fetched both August 19 accessions, then checked the EDGAR browse index directly | Both 8-Ks share the primary filename <code>amrc-20260817.htm</code> , so the caching proxy returned the <i>same</i> document twice. The browse index distinguishes them in one call (“5.02” vs “5.02, 7.01, 9.01”). Direct fetch of 057952 returns the Chiplock text verbatim | <b>YES, after correcting our own bench. Our red bench also cited the wrong URL while asserting the mapping</b>                                                                                                                                      |
| CFO was also Chief Accounting Officer; no successor                                  | 8-K verbatim                                                                          | Both titles, effective 9/25/26, “The Company has commenced a search”                                                                                                                                                                                                          | <b>YES — and our red bench missed the dual title entirely</b>                                                                                                                                                                                       |
| Per-share guidance was “raised”                                                      | Read all three 2026 releases in sequence                                              | <b>\$1.10–1.35 (3/2) → \$1.06–1.28 (5/4) → \$1.15–1.35 (8/3)</b> . It was cut, then restored                                                                                                                                                                                  | <b>YES — and all three of our own documents got this sequence wrong in different ways</b>                                                                                                                                                           |
| Profit guidance cut                                                                  | May 4 release                                                                         | Adjusted EBITDA \$270–295M → \$250–270M, –8% at midpoint                                                                                                                                                                                                                      | <b>YES. Our red bench’s seasonality work answered the ramp <i>inside</i> the cut guide and left the cut itself standing</b>                                                                                                                         |
| Owned-asset awards stalling                                                          | Q1 and Q2 operating metrics                                                           | Q1: 0 MWe new awards, 1 MWe placed. Q2: <b>(24) MWe</b> new awards, 32 MWe placed. Pipeline 568 → 513 MWe                                                                                                                                                                     | <b>YES — our red bench found Q2 but missed the Q1 comparative that makes it a trend</b>                                                                                                                                                             |
| “3.2x leverage against a 3.5x covenant” is comfortable                               | Debt table                                                                            | That is <b>corporate debt only</b> (\$384.8M). Energy-asset debt is \$1,546.6M, non-core JV \$27.5M — \$1,958.9M total, ~7.5x guided EBITDA                                                                                                                                   | <b>YES, but see next row</b>                                                                                                                                                                                                                        |
| The equity is expensive                                                              | Two valuation frames                                                                  | At \$20.97: ~11.5x guided EBITDA if all debt counts; <b>~5.8x if only corporate-recourse debt counts</b> . 15.5–18.2x a per-share guide that was cut and then restored                                                                                                        | <b>PARTIALLY — our red bench ruled the project debt non-recourse to excuse the covenant, then loaded 100% of it into enterprise value to call the stock expensive. Inconsistent. The recourse language is in the Q2 10-Q and we did not read it</b> |

| Claim                                                                | How checked                              | Found                                                                                                                                                                                                                                                                                | Confirmed?                                                                                                                                  |
|----------------------------------------------------------------------|------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| Street models FY26 EBITDA ~\$265.9M                                  | Search; secondary aggregator only        | Above the \$260M midpoint — the street models a beat of a cut guide                                                                                                                                                                                                                  | <b>NO — unconfirmed. Our red bench nonetheless leaned on it in its strongest-kill paragraph. Verdicts don't rest on unconfirmed numbers</b> |
| The -10.4% day was caused by the 8-Ks                                | Daily closes                             | 8/17 \$28.50 → 8/18 \$25.49 (-10.6%, follows the Baird cut) → 8/19 \$25.35 → 8/20 \$22.19 (-12.5%, follows the 8-Ks) → 8/21 \$21.38 → 8/24 \$20.97. Two catalysts, two breaks, in that order                                                                                         | <b>YES on the path; the downgrade attribution is secondary</b>                                                                              |
| Satellite checks on the 513 MWe pipeline and the landfill-gas plants | Attempted                                | <b>Not checkable</b> — our property extraction resolved only the Framingham HQ and ten leased offices, no project coordinates. Methane-plume imagery over an owned RNG site would directly test the environmental-attribute revenue. This is a real loss, not a non-applicable check | <b>NOT CHECKABLE — coverage gap</b>                                                                                                         |
| Our automated checks fired on the right business                     | Compared the two benches' dispatch lists | Consumer-app, beauty, and clinical-trial-referral checks matched on wrong sector tags for a B2B/B2G energy contractor. Two checks ran in only one of the two benches. Both benches received identical evidence and produced non-identical check lists                                | <b>NO — our own routing was defective, and it consumed review attention</b>                                                                 |

## PROPOSED ENTRY BANDS

**Today: NO ENTRY.** Not a price call — a sequencing call. Both benches, from opposite sides, independently landed on flat.

**Reopen conditions — all four must clear, evaluated on the ~November 2 print and its 10-Q:**

1. Contracted backlog  $\geq$  **\$2,300M** (i.e. it stops falling from the \$2,302M mark).
2. Net new energy-asset awards **positive** — any positive MWe number breaks the zero/negative streak.
3. The tax-credit accounting change **quantified in the filing**, with an EPS effect of  $\leq$  **\$0.10**. Not quantified = fail.
4. A **named CFO** (permanent or interim). The seat still empty on the print date = fail.

**If all four clear:** buy **0.5% of book** at market, filled over 2–3 days, no more than ~1% of average daily volume per day. Average daily volume must be pulled before any order — we do not have it. Do not chase above **\$24.00** (~15% above today); above that the relief rally has taken the entry.

**If condition 3 or 4 fails: stay flat regardless of price.** This is the one rule that must not be negotiated on a cheap-looking tape.

**Adds:** none until a *second* clean print (Q4, roughly March 2027) with conditions 1 and 2 still holding. Then to a maximum of **1.0% of book**.

**Exit rule if we do own it:** an 8-K Item 4.02 (non-reliance on previously issued financials) or an Item 4.01 (auditor change) — exit in full, immediately, at any price. That is the one scenario the pre-mortem says we cannot see coming.

### **Price levels — alerts, not orders:**

- **\$18.38** (52-week low) — breaking it before the print means the market is pricing something beyond the guide cut. **Re-open the review; do not buy the low.**
- **\$14.95** — 13x the low end of the per-share guide, the level where the equity is arguably cheap even on the harsh all-debt frame. Still requires the four conditions. A price alone never opens the position.
- **\$25.49** (the August 18 close, pre-departure) — recovery above this *before* the print without the conditions clearing means the opportunity has closed. Stand down.

### **Catalyst dates:**

- **2026-09-25** — CFO/CAO departure effective. **Confirmed** from the 8-K. A successor named before this date clears condition 4 early.
- **~2026-11-02** — Q3 earnings, and the first period under the new tax-credit policy.  
**UNCONFIRMED** — this date is derived from a data vendor, not a company announcement, though the 3/2–5/4–8/3 cadence is consistent. Treat as approximate until a company release names it.
- **Available now, not a future date:** the Q2 10-Q (accession 0001628280-26-052190) is already filed and contains both the contract-asset roll and the debt recourse language. **We have not read it.** It is the highest-value unread document in the file and should be read before the print, not after.

## **ARMED SENSORS**

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(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 14.95 (deck-provisional: 13x the low end of the \$1.15-1.35 EPS guide; cheap even on the all-debt EV frame, but the four print c)
- filing watch: 8-K until 2027-02-20 (deck-provisional: Item 5.02 appointment of a CFO — clears the fourth entry condition; seat empty on the print date is an)
- dated pack AMRC|2026-09-25: AMRC: Mark A. Chiplock departure effective as EVP, CFO and Chief Accounting Officer; no successor or interim named as of filing (date confir

- dated pack AMRC|2026-11-02: AMRC: Q3 2026 earnings — first reporting period under the accelerated transferable-tax-credit accounting policy; all four entry conditions e

## What remains unverified

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- **The Q2 10-Q, entirely.** The contract-asset and unbilled-receivable roll (does the cash story become collection erosion rather than seasonality?) and the recourse language on the \$1.55B of energy-asset debt (which decides whether this trades at ~5.8x or ~11.5x). One document, two of the biggest open questions. Not read.
- **Cash on hand.** Our enterprise-value math nets no cash because we never confirmed the balance. The share count we used (52.821M diluted) is from mid-2025 and is a year stale; we did not pull the current equity note.
- **The street consensus figure (~\$265.9M).** Secondary source only.
- **The November 2 earnings date.** Vendor-derived, not company-confirmed.
- **The size of the tax-credit policy change.** The direction is disclosed (forward), the magnitude is not.
- **The 8/18 downgrade attribution** and the magnitude of the 8/3 post-earnings jump — both from secondary press.
- **Average daily volume.** Our preferred price and volume source was unavailable this session; all tape figures here rest on a public quote feed.
- **Anything the satellite checks would have told us** about the 513 MWe development pipeline or methane capture at the owned RNG plants — blocked on missing site coordinates, not on the checks themselves.

Primary sources: [8-K, CFO/CAO resignation \(0001628280-26-057952\)](#) · [8-K, General Counsel retirement \(0001628280-26-057986\)](#) · [Q2 2026 results](#) · [Q1 2026 results](#) · [FY2025 results](#)

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